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TECH

Microsoft Rides Cloud Strength and Signals More to Come

Azure's revenue jumps 93% as company becomes chief cloud rival to Amazon

By Jay Greene

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Microsoft said its fiscal third-quarter profit rose 35% as revenue from Azure, its cloud business, surged 93%. DAVID PAUL MORRIS/BLOOMBERG NEWS

Microsoft Corp. MSFT **1.66%** ▲ extended its streak of wins in the latest quarter and signaled further strength in the months ahead as the software giant moves into an era where its venerable Windows franchise plays a supporting role to its burgeoning cloud-computing operations.

The cloud business, called Azure, jumped 93% in the fiscal third quarter, Microsoft reported Thursday. The business has never grown slower than 90% since the company

began reporting the metric in October 2015. The other big piece of the company's cloud operations, the commercial version of its Office 365 online-productivity service, grew 42%.

Microsoft doesn't disclose revenue for either business, but in the preceding second quarter it said Azure jumped 98% and commercial Office 365 grew 41%.

The two businesses combined accounted for \$6 billion in revenue, up 58% on what Microsoft financial chief Amy Hood said was "better-than-expected demand."

Ms. Hood pointed to 20% growth in Microsoft's server-products and cloud-services revenue as a reflection of its focus on the hybrid cloud, in which customers mix cloud services with software running on servers in their own data centers.

Microsoft has capitalized on its legacy as a seller of server software to win over its longtime customers who choose to gradually move their operations to the cloud.

That growth has propelled Microsoft into the role of chief cloud rival to Amazon.com Inc., which pioneered the business of renting out computing power and storage a decade ago. In the first three months of 2018, Amazon held a 31.7% share of that cloud infrastructure market, while Microsoft had 16% and Google 7.4%, according to the research firm Canalys.

"Two years ago, there was a clear No. 1 with no clear No. 2," said Stifel Nicolaus & Co. analyst Brad Reback. "There is no doubt that Microsoft has put significant distance between themselves and all of the other" Amazon rivals.

The surging cloud business led Microsoft to post a profit increase of 35% to \$7.42 billion, or 95 cents a share. Revenue rose 16% to \$26.82 billion. Analysts surveyed by S&P Global Market Intelligence expected Microsoft to report per-share earnings of 85 cents on revenue of \$25.78 billion.

Microsoft no longer reports adjusted figures, reflecting accounting changes it adopted

at the start of the fiscal year. The year-ago figure reflects that change.

The stock climbed 3.2% in after-hours trading to \$97.41 after the company provided strong guidance for the current fiscal fourth quarter.

Ms. Hood expects the Productivity and Business Processes segment, which includes Office, to grow roughly 13% from a year before to between \$9.55 billion and \$9.75 billion. The unit that includes Azure, the Intelligent Cloud segment, should climb about 16% to \$8.95 billion to \$9.15 billion.

She projected the often-sluggish More Personal Computing segment that includes Microsoft's Windows franchise would have revenue of between \$10.3 billion and \$10.6 billion, representing roughly 13% growth.

Last month, Microsoft shares hit an all-time high of \$96.77, a gain of nearly 40% over the past year. The company has jostled with Alphabet Inc. and Amazon for the No. 2 spot behind Apple Inc. as the world's most valuable company as measured by market capitalization.

Revenue from the Intelligent Cloud segment rose 17% to \$7.9 billion. Productivity and Business Processes segment revenue climbed 17% to \$9.01 billion.

The company continues to dole out huge sums building massive data centers around the globe to battle Amazon and others. In the quarter, Microsoft had \$3.5 billion in capital expenses, with much of that money going toward its data-center expansion. A year ago, Microsoft had \$2.1 billion in capital expenditures

Microsoft doesn't break out revenue for its Windows business. Earlier this month, International Data Corp. reported world-wide PC shipments showed no growth in the most recent quarter.

Revenue in Microsoft's More Personal Computing segment, which includes Windows as well as the mobile-phone and Xbox gaming businesses, gained 13% to \$9.92 billion.

A month ago, Microsoft split the engineering group that develops products under the Windows banner among two separate divisions. It was a recognition that the product that had been synonymous with Microsoft for most of its 43 years will now play a supporting role to the company's cloud-computing efforts.

Even as Microsoft has shifted its focus away from Windows, the operating system showed surprising resiliency. Revenue in the version of Windows that Microsoft generally sells to corporate customers, known as OEM Pro, grew 11%. And revenue from Microsoft's Surface line of computers jumped 32% to \$1.10 billion.

LinkedIn, the professional social network Microsoft bought for \$27 billion more than a year ago, grew rapidly, with revenue climbing 37% to \$1.34 billion.

"Results are ahead of expectations across all lines" of LinkedIn's business, Microsoft Chief Executive Satya Nadella said during a call with analysts. That has boosted advertising revenue for the business, he said.

Write to Jay Greene at Jay.Greene@wsj.com

Corrections & Amplifications

Microsoft estimates for revenue in its current quarter indicate that its Productivity and Business Processes segment will grow about 13% from a year earlier, its Intelligent Cloud segment will grow about 16%, and its More Personal Computing segment will grow about 13%. An earlier version of this article gave incorrect calculations for those growth rates. (April 27)

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Jay Greene formerly wrote about Microsoft, Oracle, Amazon Web Services and the growing business of cloud computing for The Wall Street Journal. Before joining the Journal, Jay was Seattle bureau chief for BusinessWeek, reported on technology for the Seattle Times and was an investigative reporter at CNET. He authored the book...

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